



ALPACA × LABLAB.AI · AI TRADING AGENTS HACKATHON 2026

Risk Gate

Honest Options AI

An autonomous options agent that trades through Alpaca's MCP server — its edge is discipline and risk gates, not hype.

`github.com/fawad07/alpaca-options-agent · paper account only`

The problem

Every "AI trading bot" promises easy money.

Almost all of them lose —

because a backtest that dazzles you has usually just memorized the past.

So we built the opposite of a hype bot — one whose edge is risk control and honesty, not a secret signal.

Our thesis

The edge isn't a magic prediction. It's discipline.

1

Transparent

Every trade is a simple, explainable rule — no black box.

2

Risk-gated

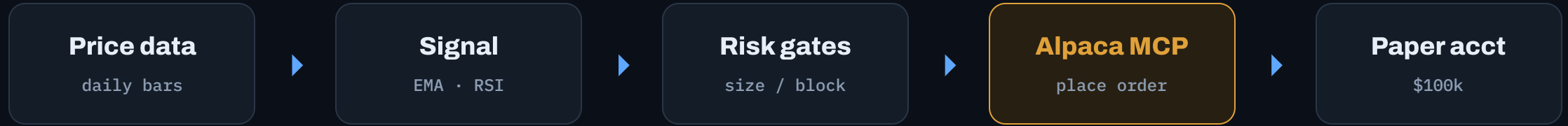
Hard caps on size, exposure, and losses protect the account first.

3

Honest

We validate out-of-sample and report what's real — no cherry-picking.

How it works



The signal decides direction; the risk gates decide if — and how big. Orders execute through Alpaca's MCP server — autonomously each market-hours cycle, with every decision logged to a journal.

The AI logic (transparent on purpose)

Signal

- Trend: 20-day EMA vs 50-day EMA
- Filter: 14-day RSI (skip overbought/oversold)
- Confidence scales with trend strength
- Weak setups → no trade

Action

Uptrend → BUY a CALL

Downtrend → BUY a PUT

Otherwise → no trade

Always defined-risk: a bought call or put, ~30 days out, near the money.

Risk gates (the heart of it)

$\leq 2\%$

risk per trade

≤ 5

open positions

5%

daily-loss halt

Long-only

never sells naked

14–60d

expiry window

+50 / –50%

take-profit / stop

Real evidence: at the 5-position cap the agent REFUSED further signals — and every block is logged in the decision journal.

Built on MCP

The hackathon's core theme — the agent trades THROUGH Alpaca's official MCP server.

72

MCP tools available

Tools the agent calls

- `get_account_info`
- `get_option_snapshot`
- `get_all_positions`
- `get_option_contracts`
- `place_option_order`
- `close_position`

The honesty check

0 of 7

Out-of-sample, the signal beat buy-and-hold on ZERO of 7 stocks.

So we don't claim a magic edge. We compete on discipline, safety & transparency. Most teams hide this — we put it on a slide.

Results

Sep 1 – 3, 2026 · paper account PA327FXF8G6D

+1.82%

Final P&L

9

Trades

2 / 0

TP / Stops

87

Risk-gate blocks

*Final equity \$101,823 · +1.82% total return since the \$100k start · 2 take-profits (+54% SPY, +74% NVDA) · 0 stop-losses · ~1% max drawdown
→ full equity curve on the next slide*

The week on Alpaca

Paper account PA327FXF8G6D · \$100,000 → \$101,823 · +1.82% total return



The green +1.07% is Alpaca's same-day change; +1.82% is the total return since the \$100,000 start.



Honest. Disciplined. Safe.

An autonomous options agent that's honest about risk. Every trade explainable, every risk capped.

github.com/fawad07/alpaca-options-agent · MIT

Account: PA327FXF8G6D · @lablabai @AlpacaHQ